

Mumias Sugar Company Limited
Abridged Audited Financial Statements
For the year ended 30th June 2017

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30TH JUNE 2017

	2017	(Restated) 2016
	Shs'000	Shs'000
Revenue	2,091,751	6,285,917
Cost of sales	(5,279,897)	(8,048,406)
Gross loss	(3,188,146)	(1,762,489)
Fair value gain on biological assets	97,137	133,803
Other income	16,756	42,000
Marketing and distribution costs	(56,617)	(103,918)
Administrative expenses	(2,329,932)	(2,176,058)
Impairment of assets	(2,572,703)	(1,388,856)
Interest income	2,480	59,381
Finance costs	(1,500,153)	(874,382)
Loss before tax expense	(9,531,178)	(6,070,519)
Tax income	2,757,244	1,313,928
Loss for the year attributable to the owners of the company	(6,773,934)	(4,756,591)
Other comprehensive income		
<u>Items that will not be reclassified subsequently to profit or loss:</u>		
Surplus on revaluation of property, plant and equipment	-	8,829,860
Deferred tax relating to surplus on revaluation of property, plant and equipment	-	(2,648,958)
Remeasurement of defined benefit obligations	(42,071)	91,531
Deferred tax relating to remeasurement of defined benefit obligations	12,621	(27,459)
Other comprehensive (loss)/income for the year, net of tax	(29,450)	6,244,974
Total comprehensive (loss)/income for the year attributable to the owners of the company	(6,803,384)	1,488,383
Earnings per share	Shs	Shs
Loss per share - basic and diluted	(4.43)	(3.11)

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STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2017

	2017	(Restated)	(Restated)
	Shs'000	2016	2015
		Shs'000	Shs'000
EQUITY			
Share capital	3,060,000	3,060,000	3,060,000
Revaluation surplus	6,464,988	6,845,313	1,955,580
Retained earnings	(8,768,408)	(2,345,349)	1,056,001
Total equity	<u>756,580</u>	<u>7,559,964</u>	<u>6,071,581</u>
Non-current liabilities			
Borrowings	6,286,941	6,961,892	725,139
Deferred income tax	-	1,408,657	55,255
Provision for service gratuity	7,909	26,166	4,724
Deferred grant income	<u>18,420</u>	<u>18,420</u>	<u>45,811</u>
	<u>6,313,270</u>	<u>8,415,135</u>	<u>830,929</u>
	<u>7,069,850</u>	<u>15,975,099</u>	<u>6,902,510</u>
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	20,531,484	24,518,655	17,786,484
Intangible assets	119,647	130,045	110,780
Deferred income tax	1,366,556	-	-
Non-current staff receivables	36,159	31,145	49,458
Retirement benefit asset	<u>176,958</u>	<u>164,829</u>	<u>57,700</u>
	<u>22,230,804</u>	<u>24,844,674</u>	<u>18,004,422</u>
Current assets			
Inventories	408,468	489,811	741,233
Growing produce	103,966	149,728	115,273
Trade and other receivables	1,194,017	1,049,001	1,533,876
Current tax recoverable	145,071	150,403	158,954
Cash at bank and in hand	<u>8,769</u>	<u>117,519</u>	<u>18,759</u>
	<u>1,860,291</u>	<u>1,956,462</u>	<u>2,568,095</u>

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Current liabilities

Trade and other payables	11,174,555	8,029,332	7,630,451
Borrowings	5,330,062	2,312,067	5,569,017
Provision for service gratuity	81,307	44,941	29,093
Unclaimed dividends	<u>435,321</u>	<u>439,697</u>	<u>441,446</u>
	<u>17,021,245</u>	<u>10,826,037</u>	<u>13,670,007</u>
Net current liabilities	<u>(15,160,954)</u>	<u>(8,869,575)</u>	<u>(11,101,912)</u>
	<u><u>7,069,850</u></u>	<u><u>15,975,099</u></u>	<u><u>6,902,510</u></u>

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BASIS OF PREPARATION

The condensed financial statements for the year ended 30 June 2017 have been prepared in accordance with International Financial Reporting Standards and audited by RSM Eastern Africa.

RESULTS OVERVIEW

During the year, the Company suffered a net loss after tax of Kshs 6.8 billion against the previous year's loss of Kshs 4.8 billion. This represents a 42% increase in the Company's loss position.

The major challenge faced by the Company throughout the year, was the acute sugar cane shortage experienced in the region coupled with a 28% increase in cane price. Total cane crushed was 407,008 tonnes, a drop of 67% compared to 1,215,566 tonnes crushed the previous year leading to sub-optimum factory capacity utilization.

As a result, a lower production of 15,891 tonnes of sugar was achieved compared to 75,073 tonnes produced the previous year. The Ethanol plant produced 6.9 million litres of ENA which was a 41% drop compared to 11.6 million litres produced in the previous financial year due to lack of adequate molasses.

Turnover for the year was Kshs 2.1 billion, a decline of 67% compared to previous year comprising of Kshs 1,297 million (2016 – 5,097 million) from sugar and Kshs 794 million (2016 – 1,057 million) from ethanol. The cogeneration and water bottling lines remained non-operational throughout the year.

To minimise losses associated with the above suboptimal factory operations, management made a decision to stop milling operations in the last quarter of the year to focus on cane development activities and factory plant maintenance. This strategy has since yielded fruit resulting in resumption of factory operations in October 2017 with the Company recording significant improvement in cane deliveries, factory reliability and associated sugar and ethanol recoveries.

FUTURE OUTLOOK

The market for sugar remains guaranteed in Kenya due to the current local sugar supply deficit. Similarly, there is a high demand for high quality ethanol which we believe will be sustained. These two segments remain our key business focus going forward. The Company has also undertaken measures aimed at resuming power export business at a renegotiated higher tariff and ensuring that the water bottling plant contributes additional revenue in the new financial year.

With the current competitive sugar cane pricing, hastened farmer payments and enhanced cane conveyance logistics, the Company is attracting most of the cane in the Mumias zone. Further, the increasing number of private cane farmers in the western sugar belt and surrounding environs relative to contracted farmers is a positive trend towards improved cane availability.

The Board and management have initiated a Turnaround strategic survival plan focused on the above including enhancing cane availability, factory optimization, improved financial management, strengthened internal controls and a performance driven work force.

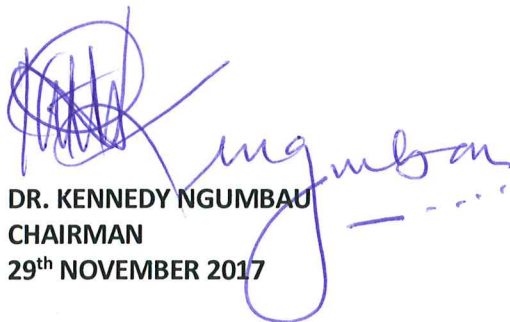
The Board of Directors view the Company's outlook as positive and that the on-going initiatives will stabilize and revitalize the Company.

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DIVIDEND

The directors do not recommend payment of a dividend.

BY ORDER OF THE BOARD



DR. KENNEDY NGUMBAU
CHAIRMAN
29th NOVEMBER 2017